

Financial Statement Analysis: Tata Consultancy Services Limited

1. Company Overview

Tata Consultancy Services Limited (TCS) is a major Indian IT services company listed on both the National Stock Exchange (NSE) and Bombay Stock Exchange (BSE). The company provides IT services, consulting, and digital transformation solutions to clients across global markets. TCS is a useful case study for financial analysis because of its large scale, strong operating cash generation, and relatively low dependence on debt.

2. Consolidated Profit & Loss Analysis

The following analysis uses TCS's consolidated financial statements for the years ended March 31, 2025 and March 31, 2024. All amounts are presented in ₹ crore unless otherwise stated.

Particulars	FY2024-25	FY2023-24
Revenue from operations	255,324	240,893
Other income	3,962	4,422
Total income	259,286	245,315
Total expenses	193,955	182,360
Profit before tax	65,331	61,997
Profit for the year	48,797	46,099

TCS's revenue from operations increased from ₹240,893 crore in FY2024 to ₹255,324 crore in FY2025.

Revenue Growth

Formula:

$$\text{Revenue Growth} = (\text{FY25 Revenue} - \text{FY24 Revenue}) / \text{FY24 Revenue} \times 100$$

Calculation:

$$(\text{₹}255,324 - \text{₹}240,893) / \text{₹}240,893 \times 100 = 5.99\%$$

This shows that TCS achieved approximately 6.0% year-on-year growth in reported revenue. This is consistent with the company's FY25 reported financial highlights.

Profit After Tax Growth

Using profit for the year:

Formula:

$$\text{PAT Growth} = (\text{FY25 PAT} - \text{FY24 PAT}) / \text{FY24 PAT} \times 100$$

Calculation:

$$(\text{₹}48,797 - \text{₹}46,099) / \text{₹}46,099 \times 100 = 5.85\%$$

Profit growth was slightly below the rate of revenue growth, indicating that profitability increased at a slower pace than the top line.

Net Profit Margin

Formula:

Net Profit Margin = Profit for the year / Revenue from operations × 100

Calculation:

₹48,797 / ₹255,324 × 100 = **19.11%**

The result shows that TCS generated approximately ₹19.11 of profit for every ₹100 of revenue in FY2025. TCS's reported FY25 net margin was approximately 19.0%, which is consistent with this calculation after considering the company's reported presentation and basis.

3. Balance Sheet Analysis

TCS's consolidated balance sheet indicates a relatively liquid business structure with substantial shareholder funds and limited dependence on conventional borrowings.

The most relevant indicators for this analysis are:

- Shareholders' funds: TCS maintained a substantial equity base, supported by accumulated earnings.
- Current assets and liabilities: The company maintained a strong liquidity position, allowing short-term obligations to be supported by current resources.
- Debt position: TCS has historically maintained very low conventional debt relative to its equity base. The company's official ratio analysis reports debt excluding lease liabilities relative to equity as negligible.

From a data-analysis perspective, the balance sheet is important because it provides the variables needed to evaluate liquidity, leverage, working-capital efficiency, and capital structure.

The official TCS annual report should be used as the source for the underlying consolidated balance-sheet figures rather than mixing figures from standalone statements or third-party financial websites.

4. Cash Flow Analysis

Cash-flow analysis is particularly relevant for TCS because it helps determine whether reported accounting profits are supported by actual cash generation.

The consolidated cash-flow statement separates cash movements into three major categories:

- Operating activities – Cash generated from the company's core IT services business. TCS reported strong operating cash generation in FY2025.
- Investing activities – Includes investments, purchases of property and equipment, and other investing activities. These cash flows can vary depending on investment and capital expenditure requirements.

- **Financing activities** – Includes dividends, share buybacks, and other financing transactions. TCS has historically returned a significant portion of surplus cash to shareholders through dividends and buybacks.

TCS's FY25 results also highlighted strong cash generation and a substantial shareholder payout. This supports the view that the company's reported profitability is accompanied by strong cash conversion.

5. Basic Financial Ratio Analysis

Ratio	Formula	FY2025 Result	Interpretation
Revenue Growth	$(\text{FY25 Revenue} - \text{FY24 Revenue}) / \text{FY24 Revenue} \times 100$	5.99%	Shows the year-on-year increase in TCS's reported revenue.
PAT Growth	$(\text{FY25 PAT} - \text{FY24 PAT}) / \text{FY24 PAT} \times 100$	5.85%	Shows that profit increased during FY2025, although slightly slower than revenue.
Net Profit Margin	$\text{PAT} / \text{Revenue} \times 100$	19.11%	Indicates that around ₹19 of profit was generated for every ₹100 of revenue.
Debt-to-Equity	Total Debt / Shareholders' Equity	Negligible	Indicates very limited reliance on conventional debt financing.
EPS	Earnings attributable to shareholders / weighted average shares	₹134.19	Represents the earnings attributable to each ordinary share for FY2025.

TCS's official FY25 materials report an adjusted EPS of ₹134.19 and a net margin of approximately 19.0%.

6. Key Findings

- **Revenue Growth:** TCS's consolidated revenue increased by approximately 6.0% from ₹240,893 crore in FY2024 to ₹255,324 crore in FY2025.
- **Profitability:** Profit for the year increased from ₹46,099 crore to ₹48,797 crore, while the calculated net profit margin remained around 19%.
- **Cash Generation:** Strong operating cash generation indicates that TCS's accounting profitability is supported by cash generated from its core operations.
- **Capital Structure:** TCS has limited reliance on conventional debt, resulting in a relatively conservative capital structure.
- **Capital Allocation:** Financing cash flows reflect the company's practice of returning a significant portion of surplus cash to shareholders through dividends and share buybacks.

7. Conclusion

TCS's consolidated financial statements for FY2024-25 show a large and financially stable IT services business with approximately 6.0% revenue growth, profit for the year of ₹48,797 crore, and a net profit margin of around 19%. The company's strong operating cash generation and limited

reliance on conventional debt indicate a conservative financial structure. From a data analytics perspective, TCS provides a useful example for studying revenue growth, profitability, cash conversion, liquidity, and capital allocation using structured financial data.

References

1. Tata Consultancy Services Limited, Integrated Annual Report 2024-25, Consolidated Financial Statements.
2. Tata Consultancy Services Limited, Financial Results Q4 FY2025.
3. Tata Consultancy Services Limited, Financial Statements / Investor Relations.
4. Tata Consultancy Services Limited, Stock Information.